BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

June 24, 2025

Rebuttal Testimony of:

UIU Rate Panel

Mark D. Ewen
Industrial Economics, Incorporated
2067 Massachusetts Avenue
Cambridge, MA 02140

Maksim Malukoff
Industrial Economics, Incorporated
2067 Massachusetts Avenue
Cambridge, MA 02140

Danielle Panko
Utility Intervention Unit
Division of Consumer Protection
NYS Department of State
99 Washington Avenue
Suite 500
Albany NY, 12231-001

I. INTRODUCTION

Q. Would the Panel please state their names and business addresses?

A. **(Ewen and Malukoff)** Mark Ewen and Maksim Malukoff, our business address is 2067 Massachusetts Avenue, Cambridge, MA 02140.

(Panko) My name is Danielle Panko, and my business address is 99 Washington Avenue, Suite 500, Albany, NY 12231.

Q. Are you the same Panel that previously filed direct testimony in this proceeding on behalf of the Utility Intervention Unit (UIU) of the New York Department of State's Division of Consumer Protection on May 30, 2025?

A. Yes.

Q. What is the scope of the Panel's rebuttal testimony?

A. For Consolidated Edison Company of New York, Inc. (Con Edison or the Company) electric service, we respond to the Direct Testimony of

the Department of Public Service Staff (Staff) Rates Panel on revenue allocation matters. For gas service, we respond to the Direct Testimony of the Staff Rates Panel and the Direct Testimony of Ben Johnson, representing the Westchester Municipal Consortium (the Consortium), on revenue allocation and rate design matters concerning the Company's proposed restructuring of Service Classification (SC) 3 (Residential and Religious, heating).

We would also note that the absence of testimony concerning other issues should not be construed as support for, or opposition to, intervening parties' positions concerning those issues.

Q. How is your testimony organized?

A. Our testimony has three sections. First, we introduce our rebuttal testimony. Second, we rebut Staff's revenue allocation proposal for electric service. Third, we address revenue allocation and rate design matters for gas service related to residential classes and

provide our recommendations.

Q. Are you sponsoring any exhibits associated with your testimony?

A. Yes, we are sponsoring two exhibits:

- Exhibit__(URP-13), which summarizes the Staff Rate Panel's revenue allocation proposal for electric service.
- Exhibit__(URP-14), which summarizes the UIU Rate Panel's alternative revenue allocation proposal for electric service using Staff's proposed revenue requirement.

II. REBUTTAL OF STAFF'S REVENUE ALLOCATION FOR ELECTRIC SERVICE PROPOSAL

Q. Please summarize the Staff Rates Panel's revenue allocation proposal.

A. The Staff Rates Panel's proposal differs from the Company's proposal in two respects. First, Staff evaluated an electric revenue requirement increase of $319.2 million, as provided on page 14 of the Direct Testimony of the Staff Accounting Panel, compared to the Company's proposed $1.6 billion revenue requirement.

Second, Staff realigned the revenue surpluses and deficiencies across service classifications by one-fourth in Rate Year (RY)1 to allow a more gradual approach and to further mitigate bill impacts, relative to the Company's approach of realigning surpluses and deficiencies by one-third in RY1. (Direct Testimony of the Staff Rates Panel, at 24-25) Exhibit__(URP-13) summarizes the results of Staff's revenue allocation proposal.

Q. Do you agree with Staff's proposal?

A. No. Regarding treatment of the NYPA service classification, we have the same concerns that we raised in our direct testimony. Our recommendations are summarized on page 9 of our initial testimony:

> We recommend modifying the Company's proposed revenue allocation to increase the revenue share assigned to the New York Power Authority (NYPA) towards the overall system rate of return to correct for the revenue deficiency of this class at a faster pace. We support the Embedded Cost of Service (ECOS) recommendation set forth in the

> Direct Testimony of Dustin M. J. Madsen to move NYPA customers into their respective Con Edison service classifications, which requires an additional study (as highlighted in UIU-5-38). Once complete, we recommend the Company present the electric revenue allocation based on the recommended revised ECOS as noted in the Direct Testimony of Dustin M. J. Madsen.

Q. What else do you recommend?

A. If the Staff's proposed revenue requirement is adopted, we recommend the same revenue allocation approach as described in our direct testimony. First, UIU supports an electric revenue requirement increase that is similar in Staff's, as it is in line with magnitude of the revenue requirement proposed by Dustin M. J. Madsen on behalf of UIU. Second, we continue to find merit in our proposed revenue allocation approach that places the NYPA class within the 10 percent tolerance band, which moves that towards costs faster than the Company's approach under the current customer class setup, as discussed on pages 24-25 of our direct testimony.

To demonstrate the impact, the UIU Rate Panel prepared an alternative revenue allocation proposal based on Staff's recommended electric revenue requirement increase of $319.2 million, included as Exhibit__(URP-14). Contrary to Staff, as a starting point we realigned revenue surpluses and deficiencies for all SCs by one-third in RY1. Similar to our proposal in Exhibit__(URP-6), this illustrative example brings NYPA's indexed rate of return (ROR) following the RY1 increase to 0.91, placing the SC within the lower bound of the 10 percent tolerance band, and brings the indexed ROR for SC 9 Rate I&III to 1.08.

III. GAS REVENUE ALLOCATION, RATE DESIGN, AND RECOMMENDATION FOR RESIDENTIAL CUSTOMERS

Q. Please summarize the positions that the Panel is responding to with respect to gas proposals, as they relate to the Company's proposed residential revenue allocation and rate design changes.

A. We are responding to the Direct Testimony of the Staff Rates Panel and Ben Johnson, representing

the Consortium. Staff noted that the Company's proposal to establish separate rate structures for SC 3 Rate I and SC 3 Rate II, which relies on an updated Embedded Cost of Service (ECOS) study, is compliant with page 73 of the Joint Proposal which was approved by Commission's 2023 Rate Order in Case 22-G-0065. (Staff Rates Panel Testimony, at 30) Staff recommended that revenue surpluses and deficiencies be realigned over nine years, instead of six years as proposed by the Company, to mitigate rate shocks for SC 3 Rate I customers. (*Id.*, at 30-31)

Staff also observes that the Company's proposed SC 1 customer charge is above the ECOS costs and recommends a lower customer charge compared to the Company. (*Id.*, at 38) Staff mentions that there are numerous high usage customers greater than 1,000 therms under SC 1 and recommends that the Company investigate the viability of moving these customers into another rate class such as SC 3. (*Id.*, at 39-40) Staff states that "[h]omogenizing the SC 1 usage would help avoid

the possibility of disparate bill impacts within the service class moving forward." (*Id.*, at 39)

Witness Johnson identifies two main concerns with the Company's proposal to disaggregate SC 3 into Rate I and Rate II. First, the Company's proposal would significantly increase rates for certain customers and does not adequately address rate gradualism concerns. (Direct Testimony of Ben Johnson, at 91) Second, Witness Johnson is concerned that the Company's SC 3 restructuring may not be optimal. (*Id.*, at 91) He states that further research and analysis is needed to determine the best way to restructure SC 3 and adopt permanent changes to the tariff structure that is a clear improvement to the existing rate structure. (*Id.*, at 91 and 93) His second concern relates to the Company's ECOS and rate design methodologies specifically tied to SC 3 gas customers with one to four dwelling units and five or more dwelling units. Witness Johnson contends that the Company's ECOS does not precisely analyze the cost disparities

between customers with different characteristics and gas usage that are nonetheless in the same service classification. (*Id.*, at 82) Witness Johnson is not convinced that the number of dwelling units is the sole criterion on which this decision should be based. (*Id.*, at 93) For example, Witness Johnson suggests that the Company could consider the size of a building and gas usage patterns in grouping customers into rate classes. (*Id.*, at 92 and 94) Further, grouping large single-family residences (based on gas usage) with multi-family residential customers may result in greater class homogeneity. (*Id.*, at 94) We find his concerns convincing.

Q. What are your recommendations?

A. We recommend that the Commission require the Company to prepare an evaluation of the residential SCs in Con Edison's next base rates proceeding based on the following observations. We share similar rate gradualism and methodological concerns as those discussed

above. We also understand that designing rates while balancing the interests of customers at all levels of consumption is challenging for such a heterogenous service classification such as SC 3. (Direct Testimony of UIU Rate Panel, at 40) We reiterate that the Company's proposed minimum customer charge increase for both SC 3 Rate I and II is not consistent with rate gradualism and we are not convinced the proposed customer charges are reasonable. (Direct Testimony of UIU Rate Panel, at 42-43) We highlight that Dustin M. J. Madsen on behalf of UIU had additional concerns with the Company's gas ECOS study as it relates to how "the customer-related component of the costs based on how the system is actually designed" and should be addressed. (Direct Testimony of Dustin M. J. Madsen, at 92) Additional studies may guide the revenue allocation and ratemaking decisions moving forward and alleviate some of our concerns. We also flag that the Company's dissection of SC 3 into Rate I (one to four dwelling units) and Rate II (five or more

dwelling units) is arbitrary and does not address the issue with the range of customer usages between or within the restructured classes. For example, we can see a plausible scenario where a highly efficient customer with more than four dwelling units could have lower usage than a customer that has a less efficient, smaller facility with less than four dwelling units. Under this scenario, these customers would be subject to different rate structures under the Company's approach solely based on the number of dwelling units. Further, we observe that additional studies may be needed to determine the proper placement of high usage SC 1 customers and to identify potential tariff and ratemaking modifications. We advise the Commission not to rush approval of any permanent tariff and ratemaking changes to the residential classes without a comprehensive evaluation of alternatives. As the Company was not required to provide a comprehensive evaluation of any ratemaking and service class restructuring alternatives (including potential tariff

modifications and bill impacts) or other concerns addressed by parties in this proceeding, we recommend that the Commission require the Company to prepare such an evaluation in Con Edison's next base rates proceeding.

Q. Does this conclude your rebuttal testimony?

A. Yes.